

JanGyan — Learn Without Limits

MODULE 2: Banking & Financial Services

Category: Financial Literacy & Digital Finance

> *"A bank account is not just a place to store money — it is the gateway to every financial service you will ever use."*

Module Overview

This handbook is your complete, beginner-to-advanced guide to **Banking & Financial Services** — the accounts, instruments, and everyday tools that connect you to the formal financial system. Whether you are opening your first bank account, applying for a debit or credit card, or setting up a fixed deposit, this handbook is written so that you can read it once and walk away confident, informed, and able to use banking services safely.

By the end of this module, you will not need to search anywhere else to understand the fundamentals of banking.

Learning Objectives

After completing this module, you will be able to:

- Explain what a bank is and how the Indian banking system is structured
- Identify the different types of bank accounts and choose the right one
- Understand the process and documents required to open a bank account
- Explain how deposits, withdrawals, passbooks, and statements work
- Understand ATM/debit cards, credit cards, and cheques and how to use them safely
- Compare Fixed Deposits (FD) and Recurring Deposits (RD)
- Follow banking best practices and avoid common banking mistakes

Why This Topic Matters

A bank account is the foundation of almost every financial activity — receiving a salary, paying bills, saving money, building credit, and accessing government benefits. India's financial inclusion drive has brought banking to hundreds of millions of first-time account holders in the last decade.

> **Reality Check:** Under the Pradhan Mantri Jan Dhan Yojana (PMJDY) alone, over **59 crore bank accounts** have been opened as of August 2026, holding total deposits of approximately **₹3.17 lakh crore** — with 55.7% of accounts held by women and 77.8% in rural and semi-urban areas. Yet simply having an account is not the same as knowing how to use it safely and effectively.

Banking is no longer limited to visiting a branch. It now includes ATMs, debit and credit cards, cheques, and a range of deposit products — each with its own rules, benefits, and risks. Understanding these basics protects your money and helps it grow.

This is why JanGyan follows up its Financial Literacy foundation with this module on Banking & Financial Services.

Introduction

A **Bank** is a financial institution licensed to accept deposits from the public and lend money, while also providing services like payments, remittances, and safekeeping of valuables.

In simple words: a bank is a trusted place where your money is kept safe, made to grow through interest, and made available whenever you need it — through a branch, an ATM, or a mobile app.

Banking in India rests on three pillars working together:

Pillar	Role
Deposits	Money citizens place with banks — savings, current, FD, RD accounts
Credit	Money banks lend to individuals and businesses — loans, credit cards, overdrafts
Payments	Systems that move money — cheques, cards, NEFT/RTGS/UPI, ATMs

Every rupee you deposit is protected by clear rules, and every service — from a passbook entry to a debit card swipe — is part of a regulated system designed to keep your money safe.

Fundamental Concepts

Structure of the Indian Banking System

Type of Bank	Example / Role
Central Bank	Reserve Bank of India (RBI) — regulates and supervises all banks
Public Sector Banks	Majority government-owned banks (e.g., State Bank of India)
Private Sector Banks	Privately owned, RBI-licensed commercial banks
Regional Rural Banks (RRBs)	Serve rural and semi-urban areas, sponsored by public sector banks
Cooperative Banks	Member-owned banks serving specific communities or regions
Payments Banks & Small Finance Banks	Limited-service banks focused on deposits, payments, and small-ticket lending

Key Definitions

- **Deposit** — Money placed into a bank account for safekeeping or interest.
- **Withdrawal** — Money taken out of a bank account.
- **KYC (Know Your Customer)** — The process banks use to verify a customer's identity and address.
- **IFSC Code** — An 11-character code that identifies a specific bank branch for electronic transfers.
- **Interest** — Money paid by the bank to you for keeping your deposit, or by you to the bank for borrowing.

Complete Detailed Explanation

Part A — What Banking Services Cover, In Depth

Banking services cover the full lifecycle of your money:

- **Holding money** — savings, current, and term deposit accounts
- **Moving money** — deposits, withdrawals, cheques, transfers, cards
- **Growing money** — Fixed Deposits (FD) and Recurring Deposits (RD)
- **Borrowing money** — loans, overdrafts, and credit cards
- **Tracking money** — passbooks and bank statements

Part B — Core Banking Topics (Detailed)

This is the heart of the module. Each core topic is explained with a definition, how it works, and its everyday relevance.

1. Types of Bank Accounts

Account Type	Purpose
Savings Account	For individuals to save money and earn modest interest
Current Account	For businesses with frequent transactions; usually no interest
Salary Account	A savings account opened by an employer to credit salaries, often with added benefits
Basic Savings Bank Deposit Account (BSBDA)	A zero-balance account for financial inclusion, used under schemes like PMJDY
Joint Account	Held by two or more people, operated jointly or by "either or survivor"
NRI Accounts (NRE/NRO)	For Non-Resident Indians to manage foreign and Indian income separately

2. Opening a Bank Account

Opening an account requires completing **KYC (Know Your Customer)** verification. Commonly required documents include:

- Proof of identity — Aadhaar, PAN, Voter ID, or Passport
- Proof of address — Aadhaar, utility bill, or rental agreement
- A recent photograph and a signature or biometric verification

Most banks now also offer video KYC and fully digital account opening through mobile apps, reducing the need for a branch visit.

3. Deposits & Withdrawals

A **deposit** adds money to your account — through cash, cheque, or electronic transfer. A **withdrawal** removes money — through a branch, ATM, cheque, or electronic payment.

Method	Typical Use
Cash deposit/withdrawal at branch	Large or in-person transactions
ATM withdrawal	Quick cash access, 24x7
Cheque deposit	Receiving payments from another account
Electronic transfer (NEFT/RTGS/IMPS/UPI)	Instant or same-day transfers between accounts

(Digital payment methods such as UPI, NEFT, and RTGS are covered in detail in Module 3 — Digital Payments & Cashless Economy.)

4. Passbook & Bank Statements

A **passbook** is a physical or digital record of all transactions in a savings account, updated at a branch or via a mobile app. A **bank statement** is a downloadable or printed record of transactions over a chosen period, commonly required for loan applications, visa processing, or tax filing.

> **Tip:** Reviewing your passbook or bank statement regularly is one of the simplest ways to catch unauthorised transactions early and stay on top of your spending.

5. ATM & Debit Cards

A **debit card** is linked directly to your bank account and lets you withdraw cash from ATMs or pay for purchases — the amount is deducted immediately from your balance. It requires a PIN for authentication.

Feature	Debit Card
Source of funds	Your own account balance
Interest	None — you are spending your own money
Overspending risk	Low — limited to available balance

6. Credit Cards

A **credit card** lets you borrow money from the issuing bank up to a pre-approved limit, to be repaid by a due date. If not repaid in full, interest is charged on the outstanding amount — often at a high rate.

Feature	Credit Card
Source of funds	Borrowed from the bank, up to a credit limit
Interest	Charged if the full bill is not paid by the due date
Overspending risk	Higher — easy to spend beyond your means
Additional benefit	Builds credit history when used and repaid responsibly

> **Reminder:** Never share your debit or credit card PIN, CVV, or OTP with anyone — not even someone claiming to be from your bank. Banks never ask for these details over a call, SMS, or email.

7. Cheques

A **cheque** is a written, signed instruction to a bank to pay a specific amount from your account to a named person or entity.

- **Bearer Cheque** — payable to whoever holds the cheque
- **Order Cheque** — payable only to the named person
- **Crossed Cheque** — must be deposited into a bank account, not cashed directly
- **Post-Dated Cheque** — carries a future date and cannot be cashed before then

For high-value cheques (typically ₹5 lakh and above), banks use the RBI-mandated **Positive Pay System**, where the issuer confirms cheque details electronically before payment — a safeguard against cheque fraud and alteration.

8. Fixed Deposits (FD)

A **Fixed Deposit** is a lump sum deposited with a bank for a fixed tenure at a fixed interest rate, higher than a regular savings account. Withdrawing before maturity usually attracts a penalty and reduced interest.

Important Terminologies

Term	Simple Meaning
KYC	Identity and address verification required to open or operate an account
IFSC Code	Unique code identifying a bank branch for electronic transfers
Minimum Balance	The lowest amount a savings account must hold to avoid penalty charges
Overdraft	A facility allowing withdrawal beyond the account balance, up to a limit
Maturity	The date on which a fixed or recurring deposit term ends
Nomination	Naming a person to receive the account balance in case of the holder's death

9. Recurring Deposits (RD)

A **Recurring Deposit** lets you invest a fixed amount every month for a fixed tenure, earning interest similar to an FD. It is well suited to building a savings habit and working toward a specific goal, rather than depositing a large lump sum at once.

10. Banking Best Practices

Good banking habits protect your money and keep your accounts healthy — maintaining minimum balance where required, updating KYC on time, safeguarding cards and PINs, and reviewing statements regularly.

Step-by-Step Understanding

How to Open and Start Using a Bank Account

1. Choose the right bank and account type for your needs
2. Gather KYC documents — identity proof, address proof, and a photograph
3. Fill the account opening form (in-branch or via video KYC/app)
4. Make the initial deposit, if required for that account type
5. Collect your passbook, debit card, and internet/mobile banking credentials
6. Set transaction alerts and register your mobile number for OTPs
7. Review your passbook or statement regularly to track activity

Real-Life Patterns

- **The Dormant Account Pattern:** An account opened but never used for two years or more can be marked "inactive" or "dormant," requiring re-KYC before it can be operated again.
- **The Minimum Balance Penalty Cycle:** Repeatedly falling below the required minimum balance leads to recurring charges that quietly reduce savings over time.
- **The Unused Credit Card Trap:** Holding a credit card without understanding the billing cycle often leads to missed due dates and avoidable interest charges.
- **The Goal-Based RD Success Pattern:** Households that open a Recurring Deposit tied to a specific goal (a festival, school fees) are more likely to complete the term without breaking it early.

Practical Scenarios

Scenario 1: You receive a call from someone claiming to be a bank employee asking you to share your debit card PIN to "verify" your account.

This is a scam. Banks never ask for your PIN, CVV, or OTP over a call. Disconnect and contact your bank directly using the number on your card or passbook.

Scenario 2: You want to send ₹6 lakh to a supplier by cheque.

Since this is a high-value cheque, your bank may require you to confirm the details through the Positive Pay System before it is honoured.

Scenario 3: You have an FD maturing in six months but need cash urgently.

Breaking the FD early is possible but usually comes with a reduced interest rate and a penalty — compare this cost against other options like a loan against the FD.

Scenario 4: You have not used a savings account in over two years.

The account may become dormant. Contact your bank to reactivate it, which usually requires updated KYC documents.

Government Bodies & Regulations

- **RBI (Reserve Bank of India):** Regulates and supervises all banks, sets interest rate and KYC guidelines, and licenses new banks.
- **DICGC (Deposit Insurance and Credit Guarantee Corporation):** A wholly-owned subsidiary of RBI that insures bank deposits up to **₹5 lakh per depositor per bank** (principal plus interest combined), in case a bank fails.
- **Banking Ombudsman Scheme:** A free, RBI-run grievance redressal mechanism for customers who are unable to resolve complaints directly with their bank.

Laws & Frameworks

Law / Framework	What It Covers
Banking Regulation Act, 1949	The primary law governing the functioning and regulation of banks in India
Reserve Bank of India Act, 1934	Establishes and empowers the RBI as India's central bank
RBI KYC Master Direction	Sets mandatory identity and address verification norms for opening accounts
Positive Pay System	RBI-mandated cheque confirmation process for high-value cheques (₹5 lakh and above)
DICGC Act, 1961	Governs deposit insurance coverage for bank customers

Note: The ₹5 lakh deposit insurance limit applies per depositor, per bank — not per account. If you hold multiple accounts in the same bank, the combined balance is insured only up to ₹5 lakh.

Important Statistics

Metric	Figure
Total PMJDY bank accounts (August 2026)	Approximately 59.09 crore
Total PMJDY deposits (August 2026)	Approximately ₹3.17 lakh crore
Average deposit per PMJDY account	Approximately ₹5,356
Share of PMJDY accounts held by women	Approximately 55.7%
Share of PMJDY accounts in rural/semi-urban areas	Approximately 77.8%
RuPay debit cards issued under PMJDY	Over 41 crore
Deposit insurance cover per depositor per bank (DICGC)	₹5 lakh

(Figures are approximate, sourced from Ministry of Finance/PMJDY releases as reported through August 2026; official portals should be checked for the latest updates.)

Best Practices

- Complete KYC updates promptly whenever your bank requests them
- Maintain the required minimum balance to avoid penalty charges
- Set up SMS/app alerts for every debit and credit transaction
- Review your passbook or statement at least once a month
- Keep your registered mobile number updated for OTPs and alerts
- Use a nomination facility on every account and deposit
- Pay credit card bills in full and on time to avoid high interest
- Keep your debit/credit card details and PIN strictly confidential

Common Mistakes

- Ignoring minimum balance requirements and incurring repeated penalty charges
- Sharing debit/credit card PIN, CVV, or OTP with anyone, even bank "staff"
- Never reviewing passbooks or statements for unauthorised transactions
- Letting an account go dormant and forgetting about it entirely
- Using a credit card without a clear plan to repay the full bill each month
- Not adding a nominee to bank accounts and deposits
- Signing blank cheques or handing them to unknown parties

Myths vs Facts

Myth	Fact
"My entire deposit is fully guaranteed no matter how much I keep in the bank"	Deposit insurance covers only up to ₹5 lakh per depositor, per bank
"A debit card and a credit card work the same way"	A debit card spends your own money; a credit card is borrowed money that can attract interest
"Sharing my OTP with someone who calls from the 'bank' is fine if they know my details"	Banks never ask for OTP, PIN, or CVV over a call — this is always a fraud attempt
"A dormant account is lost forever"	A dormant account can usually be reactivated by visiting the branch with updated KYC documents
"Breaking an FD early gives the same interest as holding it to maturity"	Premature withdrawal usually reduces the interest rate and may attract a penalty

Do's and Don'ts

Do	Don't
Keep your passbook and statements updated and reviewed	Don't share your PIN, CVV, or OTP with anyone
Add a nominee to every account and deposit	Don't sign blank cheques or hand them to strangers
Set transaction alerts on your registered mobile number	Don't ignore minimum balance requirements
Repay credit card bills in full, on time	Don't let an account stay unused for years without checking on it
Compare FD/RD interest rates before choosing a bank	Don't break a fixed deposit early without checking the penalty first

Banking Tips

For Individuals

- Choose an account type that matches how you actually use it (savings vs salary vs current)
- Link your mobile number and email to your account for real-time alerts

For Families

- Maintain a joint account for shared household expenses, with clear operating instructions
- Keep a record of all account numbers, nominees, and FD/RD maturity dates

For Students & Young Earners

- Start with a simple savings or salary account before considering a credit card
- Understand the billing cycle fully before using a credit card for the first time

For Senior Citizens

- Take advantage of senior citizen FD interest rates, usually higher than standard rates
- Involve a trusted family member as a joint holder or nominee for ease of access

Practical Checklist

- [ ] Chosen the right account type for your needs
- [ ] Completed KYC with valid identity and address proof
- [ ] Set up mobile/SMS alerts for all transactions
- [ ] Added a nominee to every account and deposit
- [ ] Reviewed your passbook or statement this month
- [ ] Checked your credit card due date and billing cycle
- [ ] Compared FD/RD interest rates before opening a new deposit

Quick Revision Notes

- Banking rests on three pillars: Deposits, Credit, and Payments
- Common account types: Savings, Current, Salary, BSBDA, Joint, NRI
- KYC (identity + address proof) is mandatory to open any bank account
- Debit cards spend your own money; credit cards are borrowed money
- DICGC insures deposits up to ₹5 lakh per depositor, per bank
- FDs and RDs both earn fixed interest but differ in how the money is deposited

Key Takeaways

1. A bank account is the gateway to nearly every other financial service
2. Knowing your account type and its rules helps you avoid unnecessary charges
3. Debit and credit cards serve different purposes and carry different risks
4. Deposit insurance protects your money only up to a defined limit
5. Simple habits — reviewing statements, setting alerts, adding nominees — keep your banking secure

Glossary

BSBDA — Basic Savings Bank Deposit Account; a zero-balance account for financial inclusion
DICGC — Deposit Insurance and Credit Guarantee Corporation; insures bank deposits up to ₹5 lakh
FD — Fixed Deposit; a lump sum deposited for a fixed tenure at a fixed interest rate
IFSC — Indian Financial System Code; identifies a specific bank branch
KYC — Know Your Customer; identity and address verification required by banks
Nomination — Naming a person to receive account funds in case of the holder's death
Overdraft — A facility to withdraw more than the account balance, up to an approved limit
Positive Pay System — A cheque-verification process for high-value cheques to prevent fraud
RD — Recurring Deposit; fixed monthly deposits over a set tenure earning fixed interest

Frequently Asked Questions

1. What documents are needed to open a bank account?
Proof of identity (Aadhaar/PAN/Passport), proof of address, and a photograph, as part of KYC.

2. What is the difference between a debit card and a credit card?
A debit card spends your own account balance; a credit card lets you borrow up to a limit, repayable later.

3. How much of my deposit is insured if a bank fails?
Up to ₹5 lakh per depositor, per bank, under the DICGC scheme.

4. Can I withdraw a Fixed Deposit before maturity?
Yes, but it usually comes with a reduced interest rate and a penalty charge.

5. What happens if I don't use my bank account for a long time?
It may be marked inactive or dormant and will typically need updated KYC to reactivate.

6. Should I ever share my OTP with someone from the bank?
No. Banks never ask for your OTP, PIN, or CVV over a call, SMS, or email.

Official References

- Reserve Bank of India (RBI) — banking regulations and KYC guidelines
- Deposit Insurance and Credit Guarantee Corporation (DICGC)
- Ministry of Finance — Pradhan Mantri Jan Dhan Yojana (PMJDY) updates
- Reserve Bank of India: **https://www.rbi.org.in**
- DICGC: **https://www.dicgc.org.in**
- PMJDY: **https://www.pmjdy.gov.in**

Conclusion

Banking is the backbone of everyday financial life — every salary credited, every bill paid, and every rupee saved passes through it. Understanding the basics of accounts, cards, cheques, and deposits helps you use these tools with confidence instead of confusion, and protects you from avoidable charges and fraud.

This is only the next step in your Financial Literacy journey with JanGyan. Stay informed, review your accounts regularly, and remember: **know your account, guard your PIN, and read before you sign.**

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